

RATING METHODOLOGY - RETAIL

July 2025



[Click to Provide Feedback](#)

Table of Contents:

Overview	1
Business Risk Assessment	3
Financial Risk Assessment.....	5
Other Elements of Credit Risk Assessment.....	8
Management Quality.....	10
Assessment of Environmental, Social and Governance (ESG) Risks	10
Summing Up	11
ANNEXURE.....	12

ANALYST CONTACTS

Mr. Jitin Makkar

Senior Vice President & Group Head
+91 124 4545 368
jitinm@icraindia.com

Ms. Kinjal Shah

Senior Vice President & Co- Group Head
+91 22 6114 3442
kinjal.shah@icraindia.com

Ms. Sakshi Suneja

Vice President & Sector Head
+91 22 6169 3349
sakshi.suneja@icraindia.com

Ms. Taanisha Sharma

Senior Analyst
+91 22 6169 3344
Taanisha.sharma@icraindia.com

This rating methodology updates and supersedes ICRA's earlier methodology document on this subject, published in July 2023. While this revised version incorporates a few changes to enhance clarity in some sections, ICRA's overall approach to rating entities in the retail industry remains largely similar.

Entities in the domestic retail industry include those companies whose business activities involve sale of goods to the end customer. This methodology largely covers multi-brand brick-and-mortar retail entities and franchisees of consumer brands. Pure-play e-commerce entities are not covered under this methodology. ICRA also rates many entities in gold jewellery retail (own and third-party brands), branded apparel retailers (own brand) and automobile dealerships. While gold jewellery retailing for third-party brands is covered under this methodology, for the other three categories — gold jewellery retail (own brands), branded apparel (own brands) and automobile dealerships — readers may refer to ICRA's sector-specific rating methodologies for a) Jewellery-Retail, b) Textiles-Apparels and c) Automobile Dealers, respectively.

Overview

The Indian retail industry is estimated to be worth \$1.3 trillion. The sector is largely dominated by the unorganised segment comprising local *kirana* stores or mom-and-pop stores, with the brick-and-mortar organised segment accounting for 12-15% and e-commerce accounting for ~4% of the total market. Category wise, the industry is dominated by the food and grocery segment which accounts for around two-third of the domestic retail industry, followed by apparel, footwear and consumer durables segments. Driven by favourable demographics and rising disposable income, ICRA estimates the Indian retail industry to expand at a compounded annual growth rate (CAGR) of 10% between CY2025 and CY2032 to \$2 trillion.

Lack of adequate supply chain infrastructure, especially warehousing and cold storage as well as lack of availability of quality space are major bottlenecks for the growth of the sector. The investment requirements remain sizeable, and so far, the sector has been able to attract only limited domestic capital. While foreign direct investment (FDI) regulations have been relaxed over the past decade, on-ground implementation challenges and the continued restrictive nature of India's FDI policy and various mandatory sourcing requirements, especially under multi-brand retail trade, have impacted the quantum of inflows.

Industry Risk Assessment

- Industry cyclicity / macroeconomic risks impacting consumer spending and competitive landscape
- Regulatory risks

Business Risk Assessment

- Business model
- Scale of operations, geographical diversification and market position

Financial Risk Assessment

- Profitability metrics
- Leverage and coverage indicators
- Cash flows and liquidity profile
- Foreign currency-related risks
- Tenure mismatches, and risks related to interest rates and refinancing contingent liabilities / off-balance sheet exposures

Other Elements of Credit Risk Assessment

- Parentage
- Debt servicing track record
- Contingent liabilities/ off-balance sheet exposures and accounting quality
- Event risk

Management Quality

Assessment of Environmental, Social and Governance (ESG) Risks

Industry Risk Assessment

Industry cyclicity/macroeconomic risks impacting consumer spending and competitive landscape

Businesses are sensitive to economic cycles in varying degrees, depending on the extent of their correlation to the economic activities and consumer sentiments in the country. Segments such as premium apparel, watches and certain technology products have a high correlation with economic activities and are thus exposed to cyclicity in demand. Thus, an important factor to be analysed for the retail entities is the extent of diversification of the revenue mix across products/services, customer segments and geographies, which are critical factors influencing operational stability.

The Indian retail Industry is highly competitive, marked by presence of several organised and unorganised players. The competition is accentuated in the fashion retail market with presence of several domestic and international brands. Given the intense competition, players are required to make investment in advertising to maintain their brand presence. In this context, ICRA evaluates some of the factors, which can enable an entity to differentiate itself, on the basis of brand strength, geographical diversity, and scale of operations.

Regulatory risks

While the domestic players are not exposed to significant regulatory risks or oversight, there are restrictions on foreign investment in the retail sector to protect the local kirana stores. Limited foreign investment has restricted the benefits arising from access to capital, access to technology and supply chain efficiencies. Though the industry has been opened up with 100% FDI in single brand retail trade, 51% FDI in multi-brand retail trade and 100% FDI in business-to-business e-commerce, it includes a set of riders, complicating its implementation. Besides, most of the compliance requirements for FDI in organised retail remain a state subject and, consequently, there is less uniformity in implementation.

Business Risk Assessment

Business model

In assessing the credit quality of entities in the retail industry, ICRA studies the business model across various parameters, which determine the retailer's ability to generate sustained cash flows over a period of time. Some of the key business parameters that have a bearing on the performance and business strength of a retailer have been discussed below.

Product category and demand risk: Retailers can be classified based on products sold, that include food and grocery retailers (primarily retailing food and grocery products) and lifestyle retailers (primarily retailing apparel, fashion accessories and consumer durables, among others). The vastness and various areas of operations in the retail industry imply that the analysis needs to focus on a particular retailer in conjunction with the relevant factors that determine/ influence the stability of operations and cash flows for that particular industry sub-segment. For example, a value retailer focused on selling essentials is more likely to demonstrate stability in operations vis-à-vis a lifestyle retail outlet as it is less prone to cyclicity in the macroeconomic scenario, though the latter segment entails higher gross margins. Besides, certain products, like some of the consumer durables (heating/cooling devices) witness seasonal demand, resulting in uneven cash flow generation.

Brand diversification: The revenue potential of a retailer is closely linked to the range of products offered and to product pricing, which in turn drive footfalls that may translate into revenues. Diversity in the product range offered is viewed favorably. ICRA analyses the **brand diversification** for retailers in terms of the concentration of third-party brands in the overall sales mix of the retail entity. A retailer with diversified brand offerings will be less impacted by loss of business from a particular brand vis-à-vis a retailer with a concentrated portfolio. The mix of **private label** and external brand sales are also taken into consideration. Retailers with a high proportion of private label sales enjoy higher gross profit margins owing to better control over costs and inventory, though their sales volumes can be limited because of low marketing/promotion.

Management of inventory risk: ICRA notes that maintaining optimal levels of the right kind of product inventory is critical in determining the performance of a retailer. Inventory has an associated carrying cost and too much inventory can strain a retailer's working capital position as well as increase the risk of obsolescence, while too little of it increases the risk of stock-outs, thereby risking loss of customers. Inventory risk further increases for product categories, which have high fashion, technological and obsolescence risks, given the changing customer preferences. In addition, there are certain product categories like dairy and seafood products, which are perishable. Such retailers face the risk of inventory loss in the event of their inability to a) monetise inventory in a timely manner, or b) maintain requisite storage conditions (which could have cost implications, thereby hurting margins). Similarly, food and grocery retailers are required to align their inventory holding with local consumer preferences. ICRA assesses the ability of such retailers to plan/manage inventory in a manner that can minimise inventory loss, basis its discussions with the management on the measures (supply chain and logistics) put in place to mitigate this risk. ICRA also assesses a retailer's efficiency in inventory management on the basis of its arrangement with brand owners for inventory liquidation and return policies, among others. A retail entity that manages its supply chain in a manner that supports optimum inventory level at its warehouses, in a cost-effective manner, is better placed to face competition and is also likely to generate better margins.

Scale of operations

Scale of operations of a retailer is an important determinant of the operating leverage it enjoys with respect to its peers. Scale is not only dependent on the number of outlets that a retailer operates, but also on the product mix—for instance, the revenues per square feet of retail space for a luxury watch is different from that of fast moving consumer goods (FMCG) or fashion apparel. Generally, a large revenue base leads to economies of scale in terms of cost efficiencies in procurement and administrative functions, thereby supporting the operating profit margin (OPMs) of the retailer. Other factors remaining similar, a large scale retailer is more likely to exhibit higher operational stability and financial flexibility. A large retailer is also better positioned to negotiate lease rentals, especially by becoming an anchor tenant in shopping centres, as well as leverage the use of technology on account of its bigger scale of operations. Large scale also acts as an entry barrier for new players, requiring them to make significant investments in marketing, warehousing, and technology.

Geographical diversification

The location of the retail outlets is a critical aspect driving footfalls and sales volumes. A retail outlet located in a fairly densely populated area is likely to experience higher footfalls against the one located significantly away from the populated areas or in the outskirts of a city. In some cases, the brand strength of a retail outlet and the products it sells generate strong footfalls despite the location of the outlet. However, in ICRA's experience, it has been observed that the outlets situated in a demographically favourable location, such as malls or central business districts (CBDs), enjoy the distinct advantage of high visibility and better recall with existing and prospective customers, in turn driving business volumes. ICRA also analyses the regional spread of the retail outlets—a well-diversified portfolio of real estate assets imparts greater long-term stability to earnings and cash flows of an entity. ICRA notes that sales patterns vary across regions and an entity's ability to suitably align its inventory across regions is critical.

Same store sales growth

ICRA also analyses the trend in same store sales growth (SSSG) as this represents the ability of the retailer to launch new products, increase the breadth/depth of products, while maintaining quality and profitability across business cycles. While the overall growth could be driven by new stores, the revenue growth in existing stores could be slowing down and SSSG would highlight this risk. A retailer in a highly competitive segment is likely to face pressure in terms of pricing and volume growth, impacting its SSSG. However, a retailer's strong market position and healthy demand for its products / brands could drive its operating performance, despite competition.

A retailer's track record of successfully operating its business reflects its ability to respond to competitive pressure. It also reflects its ability to negotiate with suppliers. With growing preference for e-commerce, the level of integration of brick-and-mortar stores with online channels is also critical

Summary of the Salient Business Risk Factors

	Strongest		Weakest
Scale of Operations	Revenues greater than Rs. 25,000 crore	➡	Revenues less than Rs. 2,000 crore
Geographic Diversification	The entity enjoys an extremely diversified geographical presence such that each region (North, East, West, South) accounts for at least 20% of the sales	➡	One region accounts for more than 70% of the sales such that no other region accounts for more than 20% of the sales
Brand Diversification	Diversified brand offerings such that <u>top</u> 3 brands account for less than 30% of the sales	➡	Top 3 brands account for more than 90% of the sales
Mix of Private Label Sales	Greater than 90%	➡	Less than 30%
Same Store Sales Growth	Greater than 15%	➡	Less than 3%
Demand Risk	Products have inelastic demand regardless of economic sentiments or other cyclical factors (food products, prescription drugs FMCG, general merchandise)	➡	Products are highly discretionary and have high elastic demand (watches, branded apparels, jewellery)
Inventory Risk	Products have minimal fashion, technological and obsolescence risk (food products, prescription drugs FMCG, general merchandise)	➡	Products have high fashion, technological and obsolescence risk (branded apparels/ kidswear fast fashion where fashion cycles change on monthly/quarterly basis)

Financial Risk Assessment

As the prime objective of the rating exercise is to assess the adequacy of the entity's debt-servicing capability, ICRA draws up projections on the likely financial position of the entity under various scenarios. ICRA also considers the commitments of the rated entity towards other Group companies, new ventures and its investments in subsidiaries. Accordingly, future cash flows are projected after considering the entity's product mix, sales per square feet, lease rentals, other expenses including employee costs and estimated marketing and general and administrative spends, its capital expenditure programme, debt repayment schedule, its funding requirements, and the funding options available to the entity. These cash flows are then used to determine the entity's future debt-servicing capability under various scenarios.

The various financial metrics assessed by ICRA could be divided into four categories—profitability, leverage, coverage and liquidity. This document provides a summary of why ICRA considers these ratios to be important. For a more detailed description, readers may refer to the note titled –*Rating Approach - Financial Ratio Analysis* –published on ICRA's website..

Depending on the uncertainty around how the various credit drivers could evolve in the future, ICRA also carries out sensitivity analyses to assess the impact of key variables on various financial metrics. In case of groups consisting of entities with strong financial and operational linkages, various parameters such as capital structure, debt coverage indicators, and future funding requirements are assessed at the consolidated/ group level.

Profitability metrics

Profitability metrics are a measure of an entity's efficiency and return on investments. It is imperative for most businesses to invest regularly in physical assets, product development, marketing and human capital to sustain or improve their competitive position. Entities that have superior profitability are able to do so through internal accruals with low dependence on external financing. Moreover, such entities are able to generate sufficient surplus for meeting their debt servicing obligations, and rewarding equity investors. This improves their ability to attract fresh capital for future business requirements. Moreover, entities with higher profitability have better resilience to economic downturns and are more likely to generate adequate internal cash flows for re-investment and debt servicing.

While the scale brings operational efficiencies, gross margins are primarily functions of the product mix (FMCG/ apparel/ consumer durables, among others), vendor negotiations, contribution of private label sales (which have high margins) to overall sales, and the discounts offered, which in turn is dependent on the competitive intensity and demand scenario. Supermarkets are seen to have relatively lower gross margins compared to lifestyle retailers. This is, however, compensated by higher inventory turnover, given the fast-moving nature of the products, which support the return on capital employed. Retail is a high-fixed cost business — with rentals and employee costs being the major ones. In India, a growing demand for retail space, coupled with lack of alternatives with supporting infrastructure, has pushed commercial rentals in many locations to uneconomical levels. Given this, several retailers are working on different strategies to acquire retail space, including sub-letting space to speciality retailers at higher rentals (to bring down the overall rental cost) and entering into revenue-sharing agreements with shopping centre owners. However, delays by developers in handing over properties is a significant risk, which can result in delays by retailers in launching their stores.

Besides, the retail industry faces high employee attrition and there is a dearth of key talent, so the employee cost is also high. ICRA analyses the store level contribution (wherever available) of a retailer to determine its profitability. The key profitability metrics that ICRA considers include the operating profit margin, net profit margin, and return on capital employed.

Validation of business risk through profitability metrics

[Indicative Metrics¹]

	Strongest		Weakest
RoCE	$\geq 25\%$		$< 10\%$
Volatility in RoCE	$\leq 10\%$		$> 55\%$

Leverage and coverage indicators

Leverage ratios measure the indebtedness of an entity. ICRA analyses the future capital expenditure plans of the entity with respect to store expansion, mix between its owned and rented stores and the funding mix for the same. Entities that pursue an aggressive financial policy, including heavy reliance on debt financing, are likely to be more vulnerable to cyclical downturns than entities which employ conservative financial leverage in their business. Low leverage ratios reflect low reliance on debt funding and imparts greater financial flexibility to raise incremental external capital (debt or equity) for re-investment in business or to tide over temporary funding shortfalls. ICRA also notes that the extent to which an entity leverages its balance sheet, in addition to business requirements, is also a function of the philosophy of the management towards growth and funding mix. ICRA analyses capital structure, operating profit and net cash accruals relative to total debt while evaluating leverage ratios. ICRA also pays attention to coverage indicators including interest coverage, debt service coverage while analysing the financial health of a retail entity. ICRA considers lease liabilities as debt and compares the tenure of the lease liability vis-a-vis industry standard/ peers. Most of the retail entities prefer adding stores through the leasing route and hence a large portion of long term debt is in for lease liabilities. Further given the high inventory holding requirements, especially prior to the onset of festive/wedding season, most of the retailers also rely on working capital borrowings.

Assessment of leverage

[Indicative Metrics]

	Strongest		Weakest
Indebtedness Ratio	$\leq 0.9x$		$> 3.0x$
Debt to Profit Ratio	$\leq 0.5x$		$> 5.0x$

Assessment of Coverage

[Indicative Metrics]

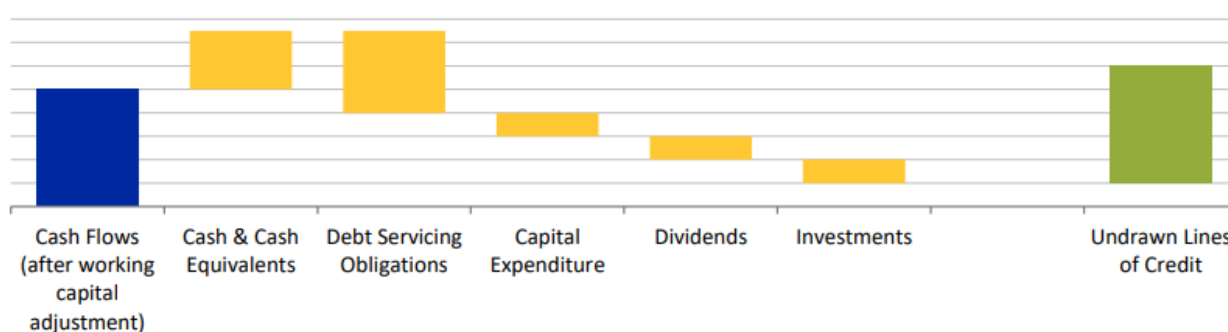
	Strongest		Weakest
Interest Coverage	$\geq 18.0x$		$< 2.0x$
DSCR	$\geq 4.0x$		$< 1.1x$

¹ The indicative financial metrics mentioned here and elsewhere in the document are intended to provide a broad overview to the readers regarding what ICRA generally considers as 'relatively strong' or 'relatively weak' metrics. It is, however, possible that an entity has relatively weaker metrics on one or more financial parameters, but its credit risk is assessed to be low because of other mitigating factors, including (but not limited to) stronger metrics on other financial parameters, a healthy business risk profile, strong financial flexibility or as a strong promoter group that is willing to extend distress support to it.

Cash flows and liquidity profile

Liquidity is the indicator of an entity's ability to meet its short-term cash obligations from various internal or external resources. Internal resources include fund flow from operations, unencumbered cash and cash equivalents on the balance sheet, and cash inflows expected from the monetisation of physical and financial assets. External resources include undrawn lines of credit or equity capital. Short-term obligations include committed as well as contingent claims on an entity's cash, including the debt-servicing obligations, working capital requirements, capital expenditure and other investment outlays, dividend and share buyback-related outflows, besides the sudden demand arising from the crystallisation of discrete events such as litigation penalty. The higher the cushion between available resources (especially internal resources) and obligations, the better the liquidity profile of an entity. Liquidity is generally assessed in conjunction with the vulnerability of an entity to timely refinancing / renewal of short-term sources of funding. Depending upon circumstances, an entity that has a relatively modest liquidity profile, but a strong refinancing ability, may not be viewed too unfavourably. ICRA also notes that the liquidity available with an entity may be for a temporary period and hence an entity's overall policy towards maintaining adequate liquidity (given the trade-off between returns and liquidity) is accorded due importance in the analytical approach.

Liquidity snapshot over any defined period



Foreign currency related risks

These risks might arise, in case any retailer imports goods for selling in the domestic market or has overseas retail outlets. The foreign currency risk can also arise from unhedged liabilities, especially for entities with liabilities denominated in a foreign currency. ICRA's analysis also focuses on the hedging policy of the entity concerned in the context of the tenure and nature of its contracts with counterparties (short term / long term, fixed price / variable price). Analysis of net foreign exposure and the extent of the timing difference in expected receipts vis-à-vis scheduled outflows are also considered.

Tenure mismatches and risks related to interest rates and refinancing

Large dependence on short-term borrowings to fund long-term investments can expose an entity to significant refinancing risks, especially during periods of tight liquidity. Existence of adequate buffers of liquid assets / bank lines to meet short-term obligations is viewed positively. Similarly, the extent to which an entity could be impacted by movements in interest rates is also evaluated.

Other Elements of Credit Risk Assessment

Parentage/Group support

Apart from standalone credit considerations, the likelihood of extraordinary support coming in from the parent/ Group to an entity, or the support that an entity is likely to extend to the other Group companies, is factored while assessing the entity's credit profile. This process involves an assessment of the ability and willingness of the parent/Group to extend support to the

entity (and vice versa), the strategic importance of the entity to the Group to which it belongs, along with the financial strength of Group entities, among others².

Financial flexibility

An entity's financial flexibility (or the lack thereof) is reflected in its ability to access capital or money markets at short notice and enjoy the confidence of banks, financial institutions, and intermediaries. A strong financial flexibility allows an entity to raise fresh borrowings or refinance existing ones quickly, whenever required. Financial flexibility could emanate from factors such as an entity's large scale of operations with strong financials, large, unencumbered cash flows, unencumbered assets and the flexibility to borrow against such assets, or strong parentage or linkages with a strong group.

In contrast, among the various measures of an entity's depleting financial flexibility, one relates to a high share of pledged promoter shareholding. A sign such as this may imply that the entity might be persuaded to distribute high dividends or support the promoter group through other means to the detriment of its own credit profile. If the promoters fail to repay their loans (availed by pledging of shares) or top up collateral when required, the lenders could sell the pledged shares. In some cases, this could trigger a change-of-control clause in the rated entity's bond indentures or loan documents and require it to redeem its debt ahead of schedule, creating a liquidity squeeze, besides affecting fresh capital raising ability. Financial flexibility could also be impacted in cases of adverse industry developments, weakening business profile, or management and governance concerns, which could translate into a sharp decline in market capitalisation or spike in bond yields and consequently constrain an entity's ability to raise fresh capital or materially increase its cost of capital.

Debt servicing track record

The debt servicing track record of the company forms an important rating consideration. Any history of past delays or defaults in meeting interest and principal repayment obligations reduces the comfort level with respect to the company's future debt servicing capability and willingness. Nevertheless, the reason behind past defaults are also analysed, which could also be due to adverse demand situations in the underlying industry. The company's ability to honour its debt obligations during the period of cyclical stress is also factored in.

Accounting quality

ICRA reviews the accounting policies, notes to accounts, auditors' comments and other disclosures that are parts of the Annual Report of a rated entity. Any deviation from the standard accounting practices is evaluated and the financial statements are adjusted, where feasible, to reflect the impact of such deviation. Significant deviations may be indicative of weak corporate governance practices in the entity.

Contingent liabilities and off-balance sheet exposures

ICRA reviews the contingent liabilities and off-balance sheet exposures as disclosed by the entity in its Annual Report and evaluates the likelihood of their devolvement and the financial implications of the same.

Event risk

ICRA recognises the possibility of events, such as unrelated diversification, mergers and acquisitions, business restructuring, asset sales and spin offs, capital restructuring; and litigations, which could have a material impact on the credit profile of a company. Incorporating the impact of such discrete events in the credit rating, from the beginning, is often difficult. Depending on whether and when such events occur, the rating opinion could be substantially different. To make rating decisions in such cases, ICRA applies its analytical judgement based on the rated entity's track record, the credibility of the management and

the experience of having seen similar situations play out in other entities. However, given the nature of such events, it is possible that the rating may undergo a material change later, upon the occurrence of the event.

Management Quality

In addition to the business and financial risk analysis, all debt ratings incorporate an assessment of the quality of the entity's management and its financial policies. An experienced management is considered positively.

In addition, the likely cash flow impact on the rated entity, from the possible need to support other group entities is of importance, in case the rated entity is among the stronger entities within the group. Usually, a detailed discussion is held with the management of the rated entity to understand its business objectives, plans and strategies, and views on past performance, besides the outlook on the rated entity's industry.

Some of the points assessed are:

- Experience of the promoter/ management in the industry
- Commitment of the promoter/ management to the concerned line of business
- Risk appetite of the promoter/ management and risk mitigation plans
- The rated entity's plans regarding new projects, acquisitions, and investment in non-core business segments
- The rated entity's policies on leveraging, interest risk and currency risks

Periodic interactions with the management also help to estimate the possibility of the management's tendency to deviate from its core philosophy in times of stress.

Assessment of Environmental, Social and Governance (ESG) Risks

As this methodology highlights, while undertaking credit assessment of entities, ICRA seeks to incorporate all relevant credit considerations into its rating decisions while taking a forward-looking view on the risks and the mitigants. The relevant credit considerations include (sometimes overtly, sometimes covertly) the environmental and social (E&S) factors that could affect the rated entity/ transaction. While ICRA's analytical approach does not explicitly disaggregate these risks to assess their impact on the rating, these risks are often assessed broadly. Further, it is not always feasible to disaggregate the sub-components of E&S risks fully or precisely in credit analysis as these considerations often tend to overlap.

However, the materiality of the E&S risks and the time horizon over which they are expected to crystallise differ widely across sectors and entities. In some cases, while the E&S risks could be material, their effect on the credit profile may be muted because of other fundamental strengths of the entity. In other cases, the adverse impact of E&S risks is expected to play out in the distant future and, hence, these considerations do not necessarily weigh on the rating at present — with the expectation that when these risks manifest in future, the rated entity would possibly have adapted itself by realigning its business model.

While evaluating E&S risks, ICRA's objective is only to assess the direct and indirect risks that an entity faces and how it already is or is intending to mitigate the impact of such risks on its credit profile. As an example, ICRA only assesses whether an entity is exposed to physical climate risks, or carbon transition risks such as those arising from changes in regulations or other environmental and social risks, and seeks to understand the various mitigation and adaptation approaches that the entity is implementing to mollify these risks. In spite of the above, as an example, it is possible that even if entity A has a higher carbon footprint than entity B, it does not materially affect ICRA's credit opinion on entity A. This is because ICRA's credit opinion on an entity considers a wide gamut of credit-relevant factors, and the E&S factors are only one among those.

Environmental considerations

The retail sector's direct exposure to environmental risks is low. Carbon transition risk primarily relates to transportation of goods to/from warehouse and stores, which is manageable. Physical climate risk relates to temporary disruption in store operations/sourcing of goods, which can be addressed by a diversified geographical presence. The sector, however, has dependence on agricultural products such as cotton, availability and cost of which depend on agro-climatic conditions. However, retailers can over time, pass on the increased cost associated with higher compliance costs for ensuring sustainable supply chains.

Social considerations

From the social risk standpoint, increasing collection of customer data and growing penetration of e-commerce increase vulnerability to data breaches and exposes the entities to legal risks. The retail industry also needs to adapt to the changing consumer preferences from time to time with respect to fashion trends, preference towards shopping through online channels and increased use of social media. Being a manpower intensive segment, entities are exposed to risks of disruptions due to inability to properly manage human capital in terms of their safety and overall well-being. The risk profile of retailers is also influenced by other social factors such as responsible sourcing, product and supply chain sustainability, given the high reliance on external suppliers.

Governance risks

A sound corporate governance structure attempts to make clear the distinction of power and responsibilities between the Board of Directors and the management. The constitution of an entity's Board and the Board's participation in strategy formulation, besides the entity's adherence to legal and statutory compliances is factored in during credit assessments. ICRA seeks to gain a qualitative understanding of an entity's commitment to following transparent and credible practices by the way its financial statements are reported, its level of disclosures, consistency in communication and openness in sharing information during the credit rating exercise. Besides, the corporate group structure (whether simple or complex), the rated entity's related party transactions and instances of supporting group entities at the expense of debtholders are assessed.

Summing Up

ICRA's credit ratings are a symbolic representation of its current opinion on the relative credit risk associated with the instrument being rated. This opinion is arrived at following a detailed evaluation of the entity's business and financial risks, its competitive strengths, likely cash flows over the life of the instrument being rated, and the adequacy of such cash flows vis-à-vis the entity's debt servicing obligations. As mentioned in the note, for retail entities, the product's breadth and depth, nature of products dealt in, scale and market position would ultimately determine the business risk profile of a retailer. ICRA also evaluates management strategies for managing inventory risks and an overall approach towards managing liquidity and growth.

ANNEXURE

Summary of rating factors and an example to illustrate the key building blocks of a credit rating

		Strong			Comfortable			Adequate			Moderate			Weak		
Industry Risk	Industry position															
	Scale of operations															
Business Risk	Geographical diversification															
	Brand diversification															
	Mix of private label sales															
	Same store sales growth															
	Demand risk															
Financial Risk	Inventory risk															
	Leverage															
	Coverage															
		Enhance					Support/ Neutral					Hinder				
Do these factors enhance or hinder the credit profile?	Diversification															
	Refinancing dependence, liquidity and financial flexibility															
	Currency risk															
	Financial policy															
	Management, governance & reporting															
Parent Support	Likelihood of parent support															
	Rating of parent	AAA	AA+	AA	AA-	A+	A	A-	BBB+	BBB	BBB-	BB+	BB	BB-	B/ C category	
	Final Rating	AAA	AA+	AA	AA-	A+	A	A-	BBB+	BBB	BBB-	BB+	BB	BB-	B/ C category	

The above graphic is only for illustration purpose and does not represent a rating output from a formulaic model. The ratings assigned by ICRA are determined by Rating Committees based on both quantitative and qualitative considerations.

Contact us for any feedback or comments at: methodologies@icraindia.com

RELATIONSHIP CONTACT

L Shivakumar

+91 22 6114 3406

shivakumar@icraindia.com

MEDIA AND PUBLIC RELATIONS CONTACT

Ms. Naznin Prodhani

+91 124 4545 860

communications@icraindia.com

Helpline for business queries

+91-9354738909 (open Monday to Friday, from 9:30 am to 6 pm)

info@icraindia.com

About ICRA Limited:

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

For more information, visit www.icra.in and www.icraresearch.in

ICRA Limited

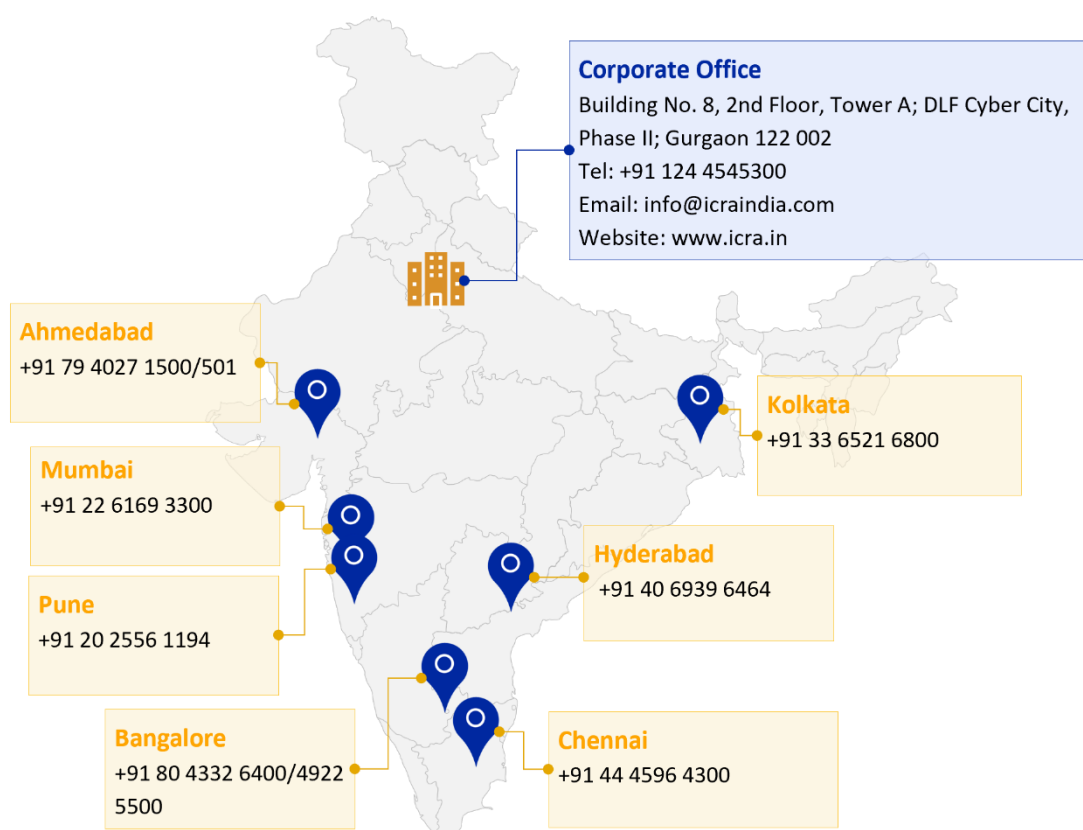


Registered Office

B-710, Statesman House 148, Barakhamba Road New Delhi-110001
Tel: +91 11 23357940-45



Branches



© Copyright, 2025 ICRA Limited. All Rights Reserved.

Contents may be used freely with due acknowledgement to ICRA.

ICRA ratings should not be treated as recommendation to buy, sell or hold the rated debt instruments. ICRA ratings are subject to a process of surveillance, which may lead to revision in ratings. An ICRA rating is a symbolic indicator of ICRA's current opinion on the relative capability of the issuer concerned to timely service debts and obligations, with reference to the instrument rated. Please visit our website www.icra.in or contact any ICRA office for the latest information on ICRA ratings outstanding. All information contained herein has been obtained by ICRA from sources believed by it to be accurate and reliable, including the rated issuer. ICRA however has not conducted any audit of the rated issuer or of the information provided by it. While reasonable care has been taken to ensure that the information herein is true, such information is provided 'as is' without any warranty of any kind, and ICRA in particular, makes no representation or warranty, express or implied, as to the accuracy, timeliness or completeness of any such information. Also, ICRA or any of its group companies may have provided services other than rating to the issuer rated. All information contained herein must be construed solely as statements of opinion, and ICRA shall not be liable for any losses incurred by users from any use of this publication or its contents.